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Standard Chartered HY'25 Earnings Note

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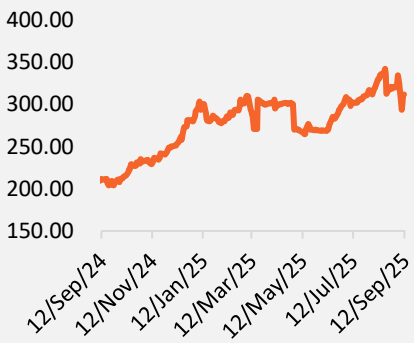
Standard Chartered Bank HY'25 Earnings Note

September 12th, 2025

Ticker Information	
NSE Code:	SCBK
Issued Shares (Bn):	0.38
52-week high:	KES 347.5
52-week low:	KES 134.0

Recommendation	Current Price	Target Price
SELL	**KES 304.50**	**KES 275.07**

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	(8.6%)	7.0%	11.9%	43.8%

Source: NSE, AIB-AXYS Research

Summary

- **Standard Chartered Bank Kenya PLC reported a 21.3% y/y decline in profit after tax (PAT) to KES 8.09Bn in H1'2025, from KES 10.28Bn in H1'2024**, largely reflecting weaker income streams amid calmer currency markets. Profit before tax fell 24.7% y/y to KES 10.90Bn as operating income slid 15.3% to KES 22.10Bn, weighed down by a 7.4% drop in net interest income to KES 15.30Bn and a sharper 29.0% contraction in non-interest income to KES 6.79Bn. The decline was driven by subdued foreign exchange trading income, which eased to KES 1.99Bn from KES 4.92Bn in H1'2024, reflecting reduced market volatility and a relatively stable shilling.

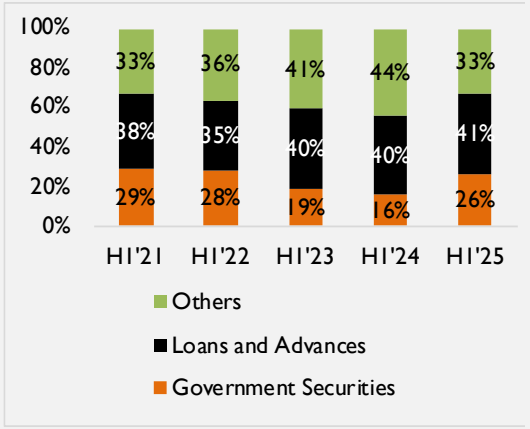
Key Highlights

- **Muted Earnings:** Net interest income declined 7.4% y/y to KES 15.30Bn, reflecting margin pressures in a softer rate environment and modest loan book performance. Lending activity was steady in the corporate and institutional segments, though retail uptake remained muted, limiting volume-driven growth. Non-interest income contracted 29.0% y/y to KES 6.79Bn, weighed down by a sharp fall in FX trading income to KES 1.99Bn from KES 4.92Bn, as currency markets remained relatively stable compared to last year's volatility. Nevertheless, fee-based income streams proved resilient, with other fees easing only marginally to KES 3.21Bn from KES 3.28Bn, supported by transaction banking and trade-related flows. Cost discipline provided some cushion, with operating expenses edging down to KES 11.2Bn from KES 11.6Bn, while loan loss provisions declined to KES 1.2Bn from KES 1.6Bn, underscoring improved credit quality.
- **Asset Quality:** Asset quality strengthened in H1'2025, with the gross NPL ratio easing to 3.9% from 5.8% in H1'2024, marking a notable improvement in credit standing. Net loans rose modestly to KES 152.21Bn from KES 149.31Bn, reflecting a conservative lending approach. While the NPL coverage ratio edged down to 81.4% from 85.1%, provisioning remains solid, with the cost of risk declining to 0.8% from 1.0%. Overall, the sharper fall in NPLs alongside lower provisioning needs underscores improved credit discipline and portfolio health.

Balance Sheet Dynamics

The balance sheet remained resilient, with total assets at KES 372.09Bn in H1'2025, reflecting cautious deployment compared to KES 377.28Bn a year earlier. Customer deposits grew 5.1% y/y to KES 290.59Bn, reinforcing a solid funding base, while the loan-to-deposit ratio eased to 52.4% from 54.0%, signaling a conservative lending stance. Investment securities strengthened balance sheet support, with government securities available-for-sale rising to KES 97.77Bn from KES 62.07Bn, a shift toward safer assets. Capitalization remained robust, with the core capital and total capital to risk-weighted assets ratios improving to 20% and 19.7% respectively, comfortably above regulatory thresholds. Overall, the bank's prudent funding structure, increased allocation to government paper, and strong capital buffers provide a solid foundation to withstand earnings pressure while supporting future growth.

Chart 2: Asset Composition



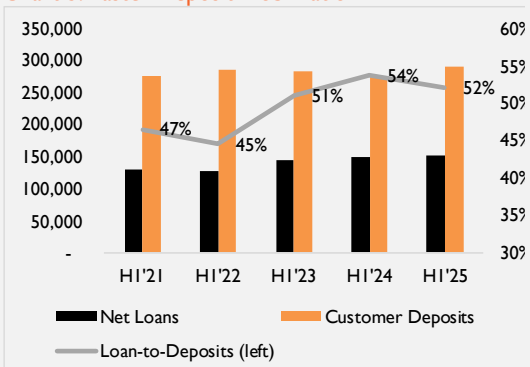
Source: Company filings, AIB-AXYS Research.

Outlook

Earnings in the first half of 2025 were muted for Stanchart, as expected, albeit slower than our projections. However, we remain optimistic about a rebound in the second half of the year. We are impressed by Stanchart's asset quality, evidenced by the softening Gross NPL ratio, and it is worth noting that the bank holds the lowest stock of NPLs among Tier 1 bank. With easing interest rates, we expect interest expenses to decline, supporting margin expansion.

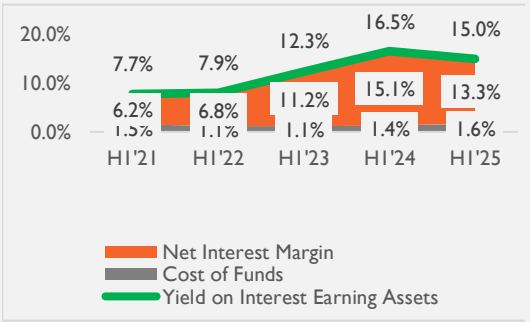
The recent developments regarding the bank's Pension Fund have compelled us to adjust our valuation. The Supreme Court dismissed the bank's appeal, and Stanchart will now be required to make a hefty payment to 629 retirees. In our valuation, we have factored in KES 7.7 Bn as the settlement amount. Given the pending significant outflow and pricing in a decline in full-year earnings, we foresee a downgrade in this year's total dividend from KES 45.0. Since the company has already declared a KES 8.0 interim dividend, the full-year payout may potentially be revised downward. We, however, foresee a resumption of healthy payouts next year as earnings normalize. Taking into account the likely dividend cut and the decline in book value, we have revised our target price downward. Nonetheless, Stanchart has historically maintained a strong payout ratio, cognizant that Kenyan investors are largely dividend-driven, this has been a key factor supporting its share price, which continues to trade at a premium to book value. We expect this to continue, underpinned by the bank's commitment to sustaining attractive dividend payouts.

Chart 3: Faster Deposit Mobilization



Source: Company filings, AIB-AXYS Research.

Chart 4: Expanding Net Interest Margins



Source: Company filings, AIB-AXYS Research.

Recommendation

- **We revise our recommendation on Standard Chartered Bank Kenya to SELL, on the back of significant downside to our target price.** At the current market price, the stock is trading at P/E ratio of 7.6x and a P/B ratio of 1.8x. Our one-year target price for Standard Chartered Bank Kenya currently stands at KES 275.07- representing a c 9.7% downside potential from current levels.

Income Statement (KES Mn)	H1'21	H1'22	H1'23	H1'24	H1'25	y/y % Change
Net Interest Income	9,115.39	10,014.04	13,851.43	16,518.80	15,301.08	▼ (7.4%)
Net non-Interest Income	4,997.61	5,542.17	7,026.65	9,556.23	6,785.33	▼ (29.0%)
Total Operating income	14,113.00	15,556.21	20,878.07	26,075.03	22,086.41	▼ (15.3%)
Provision for Impairment	(638.54)	(108.19)	(2,035.59)	(1,561.16)	(1,177.16)	▼ (24.6%)
Total Operating expenses	(7,315.32)	(7,986.88)	(11,234.01)	(11,580.37)	(11,185.44)	▼ (3.4%)
Profit before tax	6,797.67	7,569.33	9,644.07	14,494.66	10,900.98	▼ (24.8%)
Profit after tax	4,879.06	5,410.18	6,909.38	10,281.91	8,087.22	▼ (21.3%)
Annualized EPS	25.89	28.70	36.66	54.55	42.91	▼ (21.3%)
DPS	-	-	-	8.00	8.00	-

Balance Sheet (KES Mn)	H1'21	H1'22	H1'23	H1'24	H1'25	y/y % Change
Government Securities	101,381.16	103,560.17	69,300.57	62,074.97	97,710.26	▲ 57.4%
Loans and Advances	130,275.65	128,520.85	145,441.51	149,309.00	152,205.46	▲ 1.9%
Total Assets	**345,646.34**	**364,291.62**	**361,677.23**	**377,283.64**	**372,089.62**	▼ (1.4%)
Customer Deposits	278,186.88	286,911.61	283,668.42	276,402.12	290,589.58	▲ 5.1%
Total Liabilities	293,939.97	307,862.05	304,544.30	313,172.31	306,490.37	▼ (2.1%)
Shareholder's Funds	**51,706.37**	**56,429.58**	**57,132.93**	**64,111.33**	**65,599.24**	▲ 2.3%

Ratio Analysis	H1'21	H1'22	H1'23	H1'24	H1'25	y/y change
Spreads Analysis						
Yield on Interest Earning Assets	7.7%	7.9%	12.3%	16.5%	15.0%	▼ (1.5%)
Cost of Funds	1.5%	1.1%	1.1%	1.4%	1.6%	▲ 0.3%
Net Interest Margin	6.2%	6.8%	11.2%	15.1%	13.3%	▼ (1.8%)
ROaE	13.8%	17.7%	23.7%	27.7%	26.0%	▼ (1.8%)
ROaA	2.1%	2.7%	3.7%	4.7%	4.8%	▲ 0.1%
Profit Margin	34.6%	34.8%	33.1%	39.4%	36.6%	▼ (2.8%)
Operating Efficiency						
Cost to Income Ratio (Less LLP)	47.3%	50.6%	44.1%	38.4%	45.3%	▲ 6.9%
Cost to Assets (Less LLP)	2.0%	2.2%	2.5%	2.7%	2.7%	▼ (0.0%)
Loan to Deposit Ratio	46.8%	44.8%	51.3%	54.0%	52.4%	▼ (1.6%)
Asset Quality						
Net NPL Ratio	10.2%	10.5%	9.7%	5.8%	3.9%	▼ (1.9%)
NPL Coverage	81.4%	83.9%	84.8%	85.1%	81.4%	▼ (3.7%)
Cost of Risk	0.5%	0.1%	1.4%	1.0%	0.8%	▼ (0.3%)



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